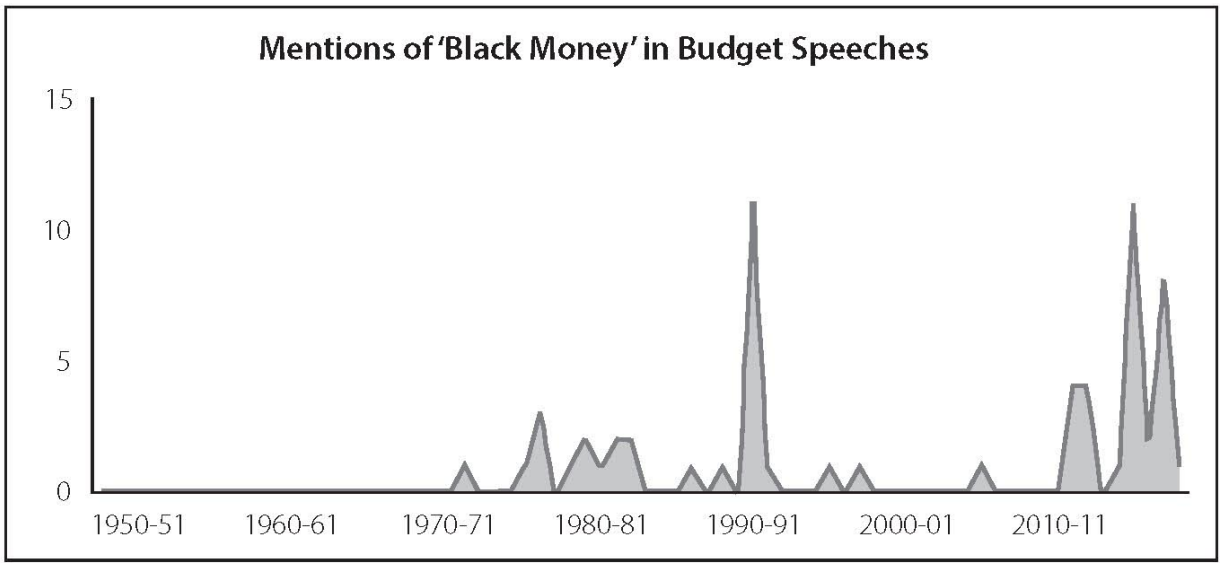
which spending grew substantially was agriculture (13 per cent in 2020). Other than infrastructure, 'no development expenditure allocation' increased by 'more than nominal GDP growth rate of 6.5%' in any sector.[116]

A related problem is that the state of government finances may be much worse than its appears on paper. Former revenue secretary Subhash Garg, who quit his position in mid-2019, blogged in early 2020 that the fiscal deficit reported by the government in July 2020 was understated and, in fact, stood at 4.66 per cent and 4.39 per cent in FY19 and FY18, respectively, rather than the 3.4 per cent and 3.5 per cent the official data had shown.[117] Similarly, Roy calculated off-budget spending to be about 0.7 per cent of GDP. In the same vein, the comptroller and auditor general made it clear in a presentation to the Fifteenth Finance Commission that a lack of fiscal transparency had led to government debt often being under-reported in government papers.[118]

Figure 10.22: Black Money Is a Key Modi Government Focus Area (Budget Speeches: 1950-51 to 2020-21)



Source: Budget speeches by Union finance ministers. Analysis by Rishabh Srivastava, Nalin Mehta, PollNiti